Unit 6. Corporate Strategy: Development

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Unit 6. Corporate Strategies. Development

LEARNING OBJECTIVES

1. To understand the key concepts of corporate strategy: Development and Methods
2. To answer: Where to compete?
3. To critically analyze the different Development Strategies: Expansion, Diversification and Vertical Integration
4. To understand reasons and ways of restructuring businesses

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6.1. Firm Scope and Development

CHANGE FIRM'S SCOPE: DEVELOPMENT AND GROWTH

FIRM DEVELOPMENT

UNIT 6!

Quantitative and qualitative changes in the firm derived of modification of its scope of activity

Development Corporate Strategies: Specialization, Diversification (Related vs Unrelated), Vertical Integration, Reestructuring, Interanationalization

FIRM GROWTH

UNIT 7!

Increases (decreases) in the size of firm variables such as volumen of assets, outputs, sales, profitability, etc.

Method Corporate Strategies: Internal Growth, Mergers & Acquisitions, Strategic Alliances

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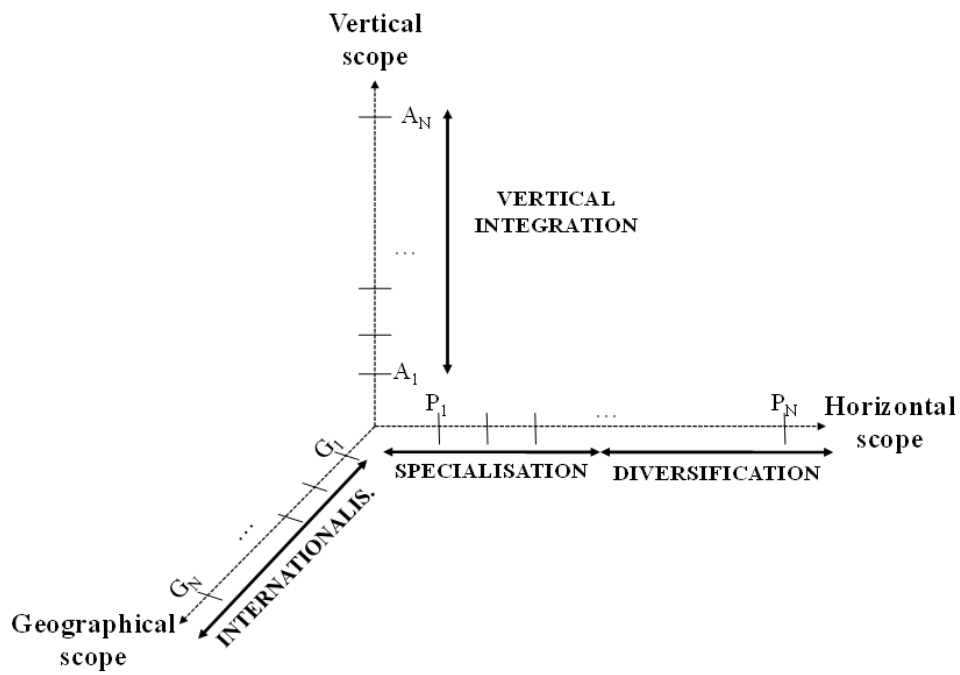
6.1. Firm Scope and Development

FIRM'S SCOPE, DEVELOPMENT AND GROWTH

Set of business(es) in which the company wants to compete

Addresses the Key Question: ***WHERE TO COMPETE?***



- Firms modify their scope fairly often, which implies:
  - The **growth** of the firm by vertical integration, specialisation, diversification or internationalization.
  - **Restructuring** by recovering some activities, or get rid of them by selling or winding them up.

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6.2. Specialization & Diversification

SPECIALIZATION

- Horizontal scope. It is associated with a **low variety and high homogeneity** of the products:

  "Mind your own business"
  "Stick to what you know"

  - They all aim to meet very similar customer needs.
  - These firms remain within fields that they know well because the products they work with require very similar knowledge, skills and resources.
  - The competition is the same for all the products they offer.

- The firm has **"single-business"** or a **"dominant-business"**

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6.2. Specialization & Diversification

SPECIALIZATION

- Main **Reasons:**

1. **Economies of scale**.
2. Try to consolidate its position in the markets and strengthen its competitive position in the industry (lower costs or more value added).
3. Increasing sales by increasing the use of their existing products, seek out new customers, introduce certain improvements in the products, etc.
4. Considered as **low risk strategy** “always doing the same products for the same customers needs”

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6.2. Specialization & Diversification

DIVERSIFICATION

- Horizontal scope. Associated with **high variety and low homogeneity** of the products:
  - They aim to meet different customer needs.
  - The products they work with require different knowledge, skills and resources.
  - The competition is different for all the products they offer (businesses).
- When a firm diversifies in different businesses, sharing some of the resources and capabilities (technology, market), then it is called :
  - **Related diversification**.
  - **Unrelated diversification** (Otherwise).

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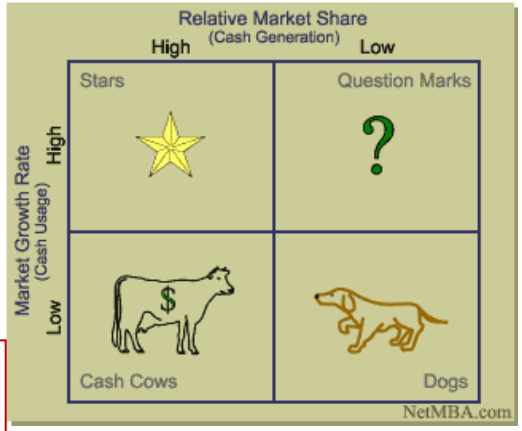
6.2. Specialization & Diversification

DIVERSIFICATION

- **REASONS**:

1. **Economies of Scope** (Synergies)
2. **Other reasons**:
   - Improve the competitive position of the firm
   - Enter attractive industries
   - Risk reducing
   - Obtain internal funding
   - Exploit managerial capabilities

"You don't put all your eggs in one basket"



RISKS:

- The creation of synergies calls for great effort: coordination and commitment
- It may lead to greater inflexibility
- Diversification can have a high cost: entry barriers, high cost of internal funding, etc.

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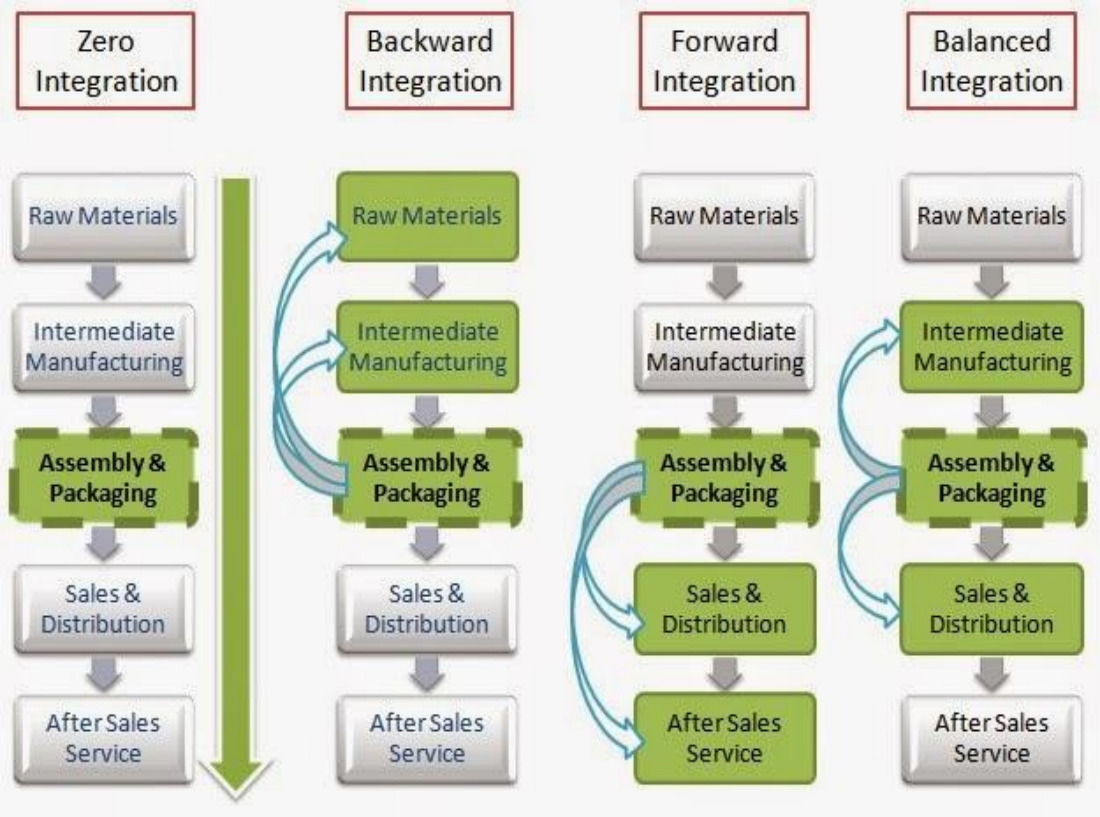
6.3. Vertical Integration

Vertical (Des)Integration

- A firm is vertically integrated if it undertakes several of activities related with the **production process**.



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6.3. Vertical Integration

Vertical (Des)Integration

- **Reasons**:
  - Easy coordination and planning of the production process.
  - Reduce the opportunism risk from external suppliers and clients.
  - Increase the value added for customers: a high level of quality or services can be guaranteed.
  - Protect information and knowledge regarding advance technology or new products.
  - Improve firms' capacity to control the final market.

- **Risks**:
  - Augment the risk of undertaking activities for the same final market.
  - Firms may become more inflexible.
  - It increases costs due to administrative costs, the lack of previous experience in vertically related activities and a low production scale in each activity

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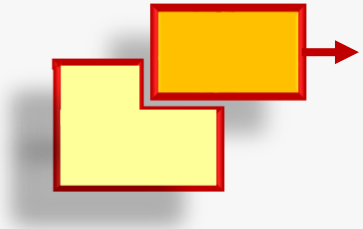
6.4. Reestructuring businesses

Reestructuring

The modification or dedefinition of the firm's scope with the possible withdrawal (DIVESTMENT) from at least ONE of its businesess

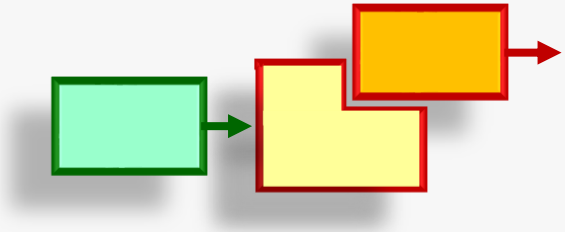
ALTERNATIVES

Specialización



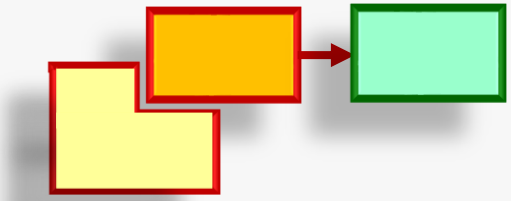
Focusing on Core Businesses

Business Portfolio Reestructuring



Both withdrawal and entry of businesses

Business Reestructuring



To re-float a poor-performance business

Source: Navas & Guerras (2018)

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6.4. Reestructuring businesses

Reestructuring

TWO BASIC OPTIONS

REESTRUCTURING

- THERE ARE POSSIBILITIES OF RE-FLOATING
- MEASURES
  - Change managers
  - Redefine Competitive Strategy
  - Sailing assets
  - Refinancing debt
  - Cost reduction

WITHDRAWAL

- THERE IS NO SOLUTION
- ALTERNATIVES:

SALE

The best way for investment recovery

HARVEST

Max. Short-Term financial Flows

WINDING -UP

End to all operations & remaining Assets Sales

Source: Navas & Guerras (2018)

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6.4. Reestructuring businesses

Reestructuring

One (or more businesses) DOES NOT achieve FIRM EXPECTATIONS IN THERMS OF PROFITABILITY

Causes:

- Inneficient management
- New competitors
- Unexpected changes in demand
- Bad competitive strategy
- High internal costs
- Organizational intertia
- Etc.

Consequences:

1. Poor Performance (Decreasing sales, profits)
2. Heavy borrowing

Source: Navas & Guerras (2018)

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